

Company balance sheet
at 3 October 2017

	<i>Note</i>	3 October 2017	
		£000	£000
Fixed assets			
Investments	2		4,463
Current assets			
Debtors (including £nil due after more than one year)	3	18,943	
Creditors: amounts falling due within one year	4	(9)	
Net current assets			18,934
Total assets less current liabilities			23,397
Creditors: amounts falling due after more than one year	5		(16,404)
Net assets			6,993
Capital and reserves			
Called up share capital	7		50
Share premium account	7		100
Profit and loss account			6,843
Shareholders' funds			6,993

These financial statements were approved by the board of directors on 3 October 2017 and were signed on its behalf by:



N Baker
Director

Company registered number: 09965297

The attached notes form part of these financial statements.

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Notes

(forming part of the financial statements)

1 Accounting policies

Alpha FMC Topco Limited (the “Company”) is a company limited by shares and incorporated and domiciled in the UK. The registered number is 09965297 and the registered address is 60 Gresham Street, London, EC2V 7BB.

The company is exempt by virtue of s400 of the Companies Act 2006 from the requirement to prepare group financial statements. This balance sheet and related notes presents information about the Company as an individual undertaking and not about the group.

The Company balance sheet and related notes have been prepared and approved by the directors in accordance with UK accounting standards, including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

There are no significant judgements and estimates made by the directors, in the application of these accounting policies that have significant effect on the balance sheet and related notes.

1.1. Measurement convention

The financial statements are prepared on the historical cost basis.

1.2. Going concern

The directors have at the time of approving the balance sheet and related notes a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. The going concern basis of accounting has therefore been adopted in preparing the balance sheet and related notes.

The directors have assessed the Company’s need for further funding in order to support future strategic aspirations of continued growth and have prepared cash flow forecasts to assess both immediate and long term working capital requirements. They consider that a listing through and Initial Public Offering (“IPO”) will generate the additional capital required in order to fulfil longer term stability of the Company.

1.3. Foreign currency

Transactions in foreign currencies are translated to the Company’s functional currency at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Foreign exchange differences arising on translation are recognised in the profit and loss account.

1.4. Classification of financial instruments issued by the Company

In accordance with FRS 102.22, financial instruments issued by the Company are treated as equity only to the extent that they meet the following two conditions:

- (a) they include no contractual obligations upon the group to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the Company; and
- (b) where the instrument will or may be settled in the entity’s own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the entity’s own equity instruments or is a derivative that will be settled by the entity exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the entity’s own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

Notes *(continued)*

1 Accounting policies *(continued)*

1.5. Basic financial instruments

Trade and other debtors / creditors

Trade and other debtors are recognised initially at transaction price less attributable transaction costs. Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses in the case of trade debtors. If the arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument.

Interest-bearing borrowings classified as basic financial instruments

Interest-bearing borrowings are recognised initially at the present value of future payments discounted at a market rate of interest. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.6. Impairment excluding deferred tax assets

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit"). The goodwill acquired in a business combination, for the purpose of impairment testing is allocated to cash-generating units, or ("CGU") that are expected to benefit from the synergies of the combination. For the purpose of goodwill impairment testing, if goodwill cannot be allocated to individual CGUs or groups of CGUs on a non-arbitrary basis, the impairment of goodwill is determined using the recoverable amount of the acquired entity in its entirety, or if it has been integrated then the entire group of entities into which it has been integrated.

Notes (continued)

1 Accounting policies (continued)

1.6. Impairment including deferred tax assets (continued)

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a *pro rata* basis.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply. An impairment loss recognised for goodwill is not reversed.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.7. Expenses

Operating lease

Payments (excluding costs for services and insurance) made under operating leases are recognised in the profit and loss account on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increases are recognised as incurred. Lease incentives received are recognised in profit and loss over the term of the lease as an integral part of the total lease expense.

Interest receivable and interest payable

Interest income and interest payable are recognised in profit or loss as they accrue, using the effective interest method.

1.8. Taxation

Tax on the profit or loss for the period comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided on timing differences which arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in the financial statements. The following timing differences are not provided for: differences between accumulated depreciation and tax allowances for the cost of a fixed asset if and when all conditions for retaining the tax allowances have been met; and differences relating to investments in subsidiaries to the extent that it is not probable that they will reverse in the foreseeable future and the reporting entity is able to control the reversal of the timing difference. Deferred tax is not recognised on permanent differences arising because certain types of income or expense are non-taxable or are disallowable for tax or because certain tax charges or allowances are greater or smaller than the corresponding income or expense.

Deferred tax is provided in respect of the additional tax that will be paid or avoided on differences between the amount at which an asset (other than goodwill) or liability is recognised in a business combination and the corresponding amount that can be deducted or assessed for tax. Goodwill is adjusted by the amount of such deferred tax.

Deferred tax is measured at the tax rate that is expected to apply to the reversal of the related difference, using tax rates enacted or substantively enacted at the balance sheet date. Deferred tax balances are not discounted.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Notes (continued)

2 Fixed asset investments

Company	Interest in group undertakings £000
Cost	
1 April 2017	1,338
Additions	3,125
Disposals	-
At end of period	4,463
Provisions	
1 April 2017	-
Provided in period	-
Disposals	-
At end of period	-
Net book value	
At 3 October 2017	4,463
31 March 2017	1,338

On 18 July 2017 the Company acquired 100% of the share capital of Track TWO GmbH for consideration of £3,125,000. Of this amount, £1,076,000 is included in Accruals due in more than one year (note 5) as deferred consideration payable eighteen months after the acquisition date.

Notes (continued)

2 Fixed asset investments (continued)

The undertakings in which the Company's interest at the period end is more than 20% are as follows.

	Country of incorporation	Registered address	Principal activity	Group	Class and percentage of shares held Company
Subsidiary undertakings					
Alpha FMC Midco Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	-	100% ordinary
Trach TWO GmbH	Germany	Mergenthaler Allee 73-75, 65760, Eschborn	Consultancy services	-	100% ordinary
Alpha FMC Midco 2 Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha FMC Bidco Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha FMC Group Holdings Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha FMC Group Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha FMC Group Nominees Limited	UK	60 Gresham Street, London, EC2V 7BB	Group services	100% ordinary	-
Alpha Financial Markets Consulting Group Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha Financial Markets Consulting Limited	UK	60 Gresham Street, London, EC2V 7BB	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting (France) SA	France	6 Square de l'Opéra Louis Jouvet, 75009 Paris, France	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting Inc	USA	400 Madison Avenue, New York, NY 10017	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting (Luxembourg) SARL	Luxembourg	19/21 route d'Arlon - bloc B, L-8009 Strassen, Luxembourg	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	Zuid-Hollandlaan 7, Den Haag, 2596 AL, The Netherlands	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting Singapore Pte. Limited	Singapore	16 Raffles Quay, 33-03 Hong Leong Building, Singapore (048581)	Consultancy services	100% ordinary	-
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	Rue du Rhône 14 – 1204 Geneva, Switzerland	Consultancy services	100% ordinary	-
Glass Client Programs Limited	UK	60 Gresham Street, London, EC2V 7BB	Dormant	100% ordinary	-
Alpha Technology Services Consulting Limited	UK	60 Gresham Street, London, EC2V 7BB	Dormant	100% ordinary	-

Notes (continued)

3 Debtors

	Company 2017 £000
Amounts owed by group undertakings	18,940
Other debtors	3
	18,943

4 Creditors: amounts falling due within one year

	Company 2017 £000
Corporation tax	4
Other creditors	5
	9

5 Creditors: amounts falling after more than one year

	Company 2017 £000
Deferred consideration accrued	1,076
Management loan notes (note 6)	13,927
Management preference shares (note 6)	1,401
	16,404

6 Interest-bearing loans and borrowings

This note provides information about the contractual terms of the Group's and parent Company's interest-bearing loans and borrowings, which are measured at amortised cost and presented net of capitalised loan arrangement fees.

	Company 2017 £000
Creditors falling due within less than one year	
Secured bank loans	-
Shareholder loan notes	-
	-
Creditors falling due after more than one year	
Management loan notes	13,927
Management preference shares	1,401
	15,328

Notes (continued)

6 Interest bearing loans and borrowings (continued)

Terms and debt repayment schedule

Group	Currency	Nominal interest rate	Year of maturity	Repayment schedule	2017 £000
Management loan notes	GBP		2023	At maturity	12,362
Management preference shares	GBP		2023	At maturity	1,321
					13,683

Management loan notes

UK, French and US management invested £12,362,087 of ordinary 'B1', 'B2', 'C1', 'C2' and 'D' loan notes in Alpha FMC Topco Limited on 3 February 2016. These have a nominal value of £0.00001 and a share premium of £0.99999. These loan notes are repayable in full, plus accrued interest on either 3 February 2023 or earlier upon the sale or listing of the Group. The loan notes accrue interest at 8% per annum and are unsecured. There are no recognised capitalised arrangement fees in respect of these loan notes.

Preference shares

On 3 February 2016 management invested £1,321,281 of preference shares in Alpha FMC Topco Limited. These have a nominal value of £0.000005 and a share premium of £0.999995. These loan notes are repayable in full, plus accrued interest on either 3 February 2023 or earlier upon the sale or listing of the Group. The preference shares accrue interest at 8% per annum and are unsecured. There are no recognised capitalised arrangement fees in respect of these loan notes.

Notes (continued)

7 Capital and reserves

<i>Allotted, called up and fully paid</i>				2017	2017	2017	2017	2017
Class	Number	Bonus shares (issued at ratio of 4999 for every existing equity share)	Voting rights	Nominal value (excl bonus shares) £	Share premium (excl bonus shares) £	Nominal value (bonus shares) £	Nominal value (incl bonus shares) £	Share premium (incl bonus shares) £
Ordinary 'A' £0.00001 shares	58,898	294,431,102	1 vote per share capped at 55%	0.59	58,897	2,944	2,945	58,897
Ordinary 'B1' £0.00001 shares	9,739	48,685,261	None	0.10	9,739	487	487	9,739
Ordinary 'B2' £0.00001 shares	7,120	35,592,880	None	0.07	7,120	356	356	7,120
Ordinary 'C1' £0.00001 shares	12,199	60,982,801	None	0.12	12,199	610	610	12,199
Ordinary 'C2' £0.00001 shares	5,155	25,769,845	None	0.05	5,155	258	258	5,155
Ordinary 'D' £0.10 shares	9	44,991	5% for each share	9.00	-	44,991	45,000	-
Ordinary 'F' £0.00001 shares	6,826	34,123,174	None	0.07	6,826	341	341	6,826
	99,946	499,630,054		10.00	99,936	49,987	49,997	99,936

All shares rank equally.

Share premium account

The balance classified as share premium relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

8 Financial instruments

(a) Carrying amount of financial instruments

The carrying amounts of the financial assets and liabilities include:

	2017 £000
Assets measured at amortised cost	18,943
Liabilities measured at amortised cost	(16,413)

The book value of the financial instruments is deemed to be approximate to fair value.

9 Related parties

Company

There were no related party transactions during the period apart from the management loan notes disclosed in note 6.

Alpha FMC Topco Limited

Balance Sheet and related notes

Registered number 09965297

3 October 2017

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Statement of directors' responsibilities in respect of the Balance Sheet and Related Notes

The directors are responsible for preparing the balance sheet and related notes in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland. Section 92 of the Companies Act 2006 requires the directors to prepare a balance sheet and related notes when applying to re-register as a public company.

Under company law the directors must not approve the balance sheet and related notes unless they are satisfied that they give a true and fair view of the state of affairs of the company at that date. In preparing the balance sheet and related notes the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the balance sheet on the going concern basis unless it is inappropriate to presume that the group and the parent company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the balance sheet and related notes comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the company and to prevent and detect fraud and other irregularities.